

## What's New in NZ Updating Master Tax Guide

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### December 2025

#### NEW DEVELOPMENTS

##### **Purchase price allocation rules and sale of farmland**

On 15 December 2025, Inland Revenue issued Questions We've Been Asked [QB 25/22](#), "Do the purchase price allocation rules alter the tax book values of Farmland Improvements and listed horticultural plants under subpart DO?". This item confirms that the purchase price allocation rules do not override the tax treatment of farmland improvements and listed horticultural plants as specified under subpart [DO](#). See [¶133-200](#).

### November 2025

#### NEW DEVELOPMENTS

##### **GST – Meaning of payment**

On 11 November 2025, Inland Revenue issued interpretation statement [IS 25/23](#), "GST – Meaning of payment". This interpretation statement clarifies the Commissioner's view on the meaning of "payment" for GST purposes. The statement replaces "GST: Meaning of payment" *Tax Information Bulletin* [¶14-102](#) Vol 1, No 4 (October 1989): 1 and "GST: claims for secondhand goods input tax credits on property transactions between associated persons" *Tax Information Bulletin* [¶511-102 Vol 5, No 11](#) (April 1994): 1. See [¶132-025](#).

##### **Income tax and GST – industries other than forestry registered in the Emissions Trading Scheme**

On 11 November 2025, Inland Revenue issued interpretation statement [IS 25/24](#), "Income tax and GST – industries other than forestry registered in the Emissions Trading Scheme". This interpretation statement provides guidance on the income tax and GST treatment of NZUs for industries (other than the forestry industry which is taxed differently) registered in the Emissions Trading Scheme. See [¶15-228](#) and [¶132-034](#).

### October 2025

#### NEW DEVELOPMENTS

##### **GST – taxable activity**

On 8 October 2025, Inland Revenue issued interpretation statement [IS 25/21](#), "GST – taxable activity". This interpretation statement sets out the Commissioner's view on the meaning of 'taxable activity' under s [6](#) of the Goods and Services Tax Act 1985 and provides general guidance in determining GST obligations under s [8](#) and s [51](#). The statement replaces "GST on disposal of assets used principally in making exempt supplies", *Tax Information Bulletin* [¶17-109 Vol 1, No 7](#) (January 1990) and "Whether an activity is a GST taxable activity or a hobby", *Tax Information Bulletin* [¶614-104 Vol 6, No 14](#) (June 1995). See [¶132-024](#).

### September 2025

#### NEW DEVELOPMENTS

##### **Student Loans – Overseas borrowers and their obligations**

On 15 September 2025, Inland Revenue issued interpretation statement [IS 25/20](#), "Student Loans – Overseas borrowers and their obligations". This interpretation statement outlines when a borrower will be a New Zealand based borrower and when they will be an overseas-based borrower. A borrower's

status as New Zealand or overseas based determines their repayment obligations and whether interest accrues on their loan. See [¶18-030](#).

#### **Whether an off-market share cancellation is made in lieu of the payment of a dividend**

On 11 September 2025, Inland Revenue issued [IS 25/19](#), "Income Tax – Whether an off-market share cancellation is made in lieu of the payment of a dividend". This interpretation statement discusses the factors to be taken into account in determining whether an off-market cancellation of shares is made in lieu of the payment of a dividend. See [¶16-705](#).

#### **Operational position on the FBT treatment of open loop cards provided by employers**

On 8 September 2025, Inland Revenue released [OP 25/02](#), "Commissioner's operational position on the FBT treatment of open loop cards provided by employers to employees". This operational position item outlines the Commissioner's view on the timing of taxpayers' implementation of the position outlined in [QB 25/07](#), "What is the income tax treatment of gift cards and products provided as trade rebates or promotions?". See [¶21-430](#).

## August 2025

### **NEW DEVELOPMENTS**

#### **Tax obligations for payments made to board members**

On 18 August 2025, Inland Revenue released [GA 25/01](#), "Tax on any fees paid to a member of a board, committee, panel, review group or task force". This general article is prepared specifically in relation to the fees paid to a member of a board, committee, panel, review group or task force under the Cabinet Fees Framework published by the Cabinet Office. See [¶3-280](#).

#### **Money and property received by New Zealand residents from overseas**

On 7 August 2025, Inland Revenue issued [IS 25/18](#), "Income tax – Whether money or property received by New Zealand tax residents from overseas is income from a foreign trust". This interpretation statement discusses the tax treatment of amounts of money and property received by NZ residents from overseas, including by inheritance. See [¶25-360](#).

## July 2025

### **NEW DEVELOPMENTS**

#### **Deductibility of expenses incurred on repairing a recently acquired capital asset**

On 11 July 2025, Inland Revenue issued Questions we've been asked, [QB 25/17](#), "Income tax: Can I claim a deduction for expenses I incur on repairing a recently acquired capital asset?". This item considers whether a taxpayer can claim a deduction on the amount of expenditure incurred to repair a capital asset that they have recently acquired. See [¶10-840](#).

#### **GST treatment for forfeited deposit issued**

On 15 July 2025, Inland Revenue released [QB 25/18](#), "Does GST apply to a deposit the seller retains in a cancelled land sale agreement". This QWBA explains the GST implications when a land sale agreement is cancelled and the seller retains the deposit. See [¶32-520](#).

## June 2025

### **NEW DEVELOPMENTS**

#### **The Commissioner of Inland Revenue's search powers**

On 27 June 2025, Inland Revenue released [OS 25/04](#), "The Commissioner of Inland Revenue's search powers". This operational statement sets out the Commissioner's procedure when exercising their search power under ss [17](#), [17C](#) and [17D](#) of the Tax Administration Act and the Search and Surveillance Act 2012. See [¶1-590](#).

#### **Section 17B notices**

On 26 June 2025, Inland Revenue released [OS 25/05](#), "Section [17B](#) Notices". This operational statement sets out the Commissioner's procedure when issuing notices under s [17B](#) of the Tax Administration Act 1994. See [¶1-590](#).

**Determination for per diem allowances paid to contractors/entertainers issued**

On 11 June 2025, Inland Revenue issued [DET 25/03](#), "Determination of amount of a particular payment (being per diem allowances paid in the screen production industry)". This determination applies to per diem allowances paid to contractors/entertainers working in the Screen Production Industry in New Zealand. See [¶13-457](#).

## May 2025

**NEW DEVELOPMENTS****Tax residence and the government service rule**

On 17 May 2025, Inland Revenue issued [IS 25/17](#), "Tax residence – government service rule". This interpretation statement provides detailed guidance on how the government service rules applies and further discusses the articles of double tax agreements that may need to be considered. See [¶1-120](#).

**Tax residence**

On 16 May 2025, Inland Revenue issued [IS 25/16](#), "Tax residence". This interpretation statement explains the tax residence rules and covers the application of the rules for individuals, companies and trusts. See [¶1-120](#), [¶1-140](#) and [¶5-700](#).

**Transfers of residential land between associated persons**

On 9 May 2025, Inland Revenue issued [QB 25/15](#), "How do the bright-line rollover relief provisions apply to transfers of residential land between associated persons?". This question we've been asked item provides guidance on how the bright-line test and the rollover relief provisions apply to transfers of residential land between associated persons on or after 1 July 2024. See [¶7-545](#).

**Bright-line test and the business premises exclusion**

On 9 May 2025, Inland Revenue issued [QB 25/14](#), "When does the business premises exclusion to the bright-line test apply?". This question we've been asked item explains the business premises exclusion which applies for the purposes of the bright-line test. See [¶7-049](#).

**Bright-line test and sale of lifestyle block**

On 9 May 2025, Inland Revenue issued [QB 25/13](#), "When is the sale of a lifestyle block excluded from the bright-line test?". This question we've been asked item explains how to work out whether a lifestyle block sold within 2 years can be excluded from the bright-line test. See [¶7-215](#).

**Bright-line test and sale of subdivided section**

On 9 May 2025, Inland Revenue issued [QB 25/12](#), "How does the bright-line test apply to the sale of a subdivided section?". This question we've been asked item explains how to work out whether a section subdivided from residential land and sold within 2 years can be excluded from the bright-line test. See [¶7-215](#).

**Bright-line start date for the 2-year bright-line test**

On 9 May 2025, Inland Revenue issued [QB 25/11](#), "When is the bright-line start date for the 2-year bright-line test?". This question we've been asked item explains the bright-line start date for the purposes of working out whether residential land is potentially subject to the 2-year bright-line test. See [¶7-049](#).

**Date of acquisition for the purposes of the land sale rules**

On 9 May 2025, Inland Revenue issued [QB 25/10](#), "On what date is a person treated as acquiring land for the purposes of the land sale rules?". This question we've been asked item provides guidance on when a person acquires land for the purposes of the land sale rules. See [¶7-047](#).

**Regular pattern of transactions**

On 9 May 2025, Inland Revenue issued [QB 25/09](#), "When do I have a "regular pattern" of transactions that prevents me from using exclusions from the land sale rules for my residence or for my main home?". This question we've been asked item provides explanation on when someone is considered to have a "regular pattern" of transactions that prevents them from using the residential exclusion from [s CB 6](#), as well as when someone will have a "regular pattern" of transactions that prevents them from using the main home exclusion from the 2-year bright-line test. See [¶7-211](#) and [¶7-215](#).

**Property held in a close company rented out for short-stay accommodation**

On 23 May 2025, Inland Revenue released [QB 25/16](#), "Income tax – How do the income tax rules apply when a close company provides short-stay accommodation?". This question we've been asked

sets out how the income tax rules apply if property held in a close company is rented out as short-stay accommodation. See [¶5-232](#) and [¶10-113](#).

#### **Land acquired for a purpose or an intention of disposal**

On 9 May 2025, Inland Revenue released [QB 25/08](#), “When is land acquired for a purpose or with an intention of disposal so that the amount derived from the sale is income?”. This question we’ve been asked provides guidance on how [s CB 6](#) applies and its relationship with the 2-year bright-line test. See [¶17-045](#).

#### **Arrangements involved tax losses carried forward**

On 4 May 2025, Inland Revenue released [IS 25/14](#), “Income tax – arrangements involving tax losses carried forward under the business continuity rules”. This interpretation statement sets out the Commissioner’s view on the potential application of the specific anti-avoidance rules in ss [GB 3BA](#), [GB 3BAB](#) and [GB 3BAC](#) when a company carries a tax loss forward under the business continuity rules. See [¶18-035](#).

#### **2025 CPI adjustment to standard-cost household service for childcare providers issued**

On 30 May 2025, Inland Revenue released CPI adjustment made to the standard-cost amounts for childcare service providers for the 2025 income year ([DET 09/02](#) (CPI 2025)). The standard-cost of providing childcare in the person’s home is \$4.56 per hour per child. The fixed standard-cost for administration and record-keeping is \$446 per annum. See [¶5-695](#).

#### **2025 CPI adjustment to standard-cost household service for boarding service providers issued**

On 30 May 2025, Inland Revenue released CPI adjustment made to the standard-cost amounts for boarding service providers for the 2025 income year ([DET 19/01](#) (CPI 2025)). The weekly standard-cost for the 2025 income year has been set at \$237 per boarder per week. See [¶5-695](#).

#### **2025 CPI adjustment to standard-cost household service for short-stay accommodation issued**

On 30 May 2025, Inland Revenue released CPI adjustments made to the standard-cost amounts for the 2025 income year ([DET 19/02](#) (CPI 2025)). The standard costs are \$63 per night if the host owns their home, and \$57 per night if the host rents their home. See [¶5-695](#).

#### **2025 CPI adjustment to square metre rate for dual use of premises issued**

On 30 May 2025, Inland Revenue released CPI adjustments made to the square metre rate for the 2025 income year ([OS 19/03](#) (CPI 2025)) and this is set at \$55.60. See [¶10-530](#).

#### **2025 CPI adjustment to kilometre rates for business use of vehicle issued**

On 30 May 2025, Inland Revenue released CPI adjustments made to the kilometre rates for the 2025 income year ([OS 19/04](#) (KM 2025)). See [¶13-445](#), [¶10-710](#) and [¶50-084](#).

#### **Specified Livestock Determination 2025 (NAMV 2025) issued**

On 26 May 2025 Inland Revenue released the National Average Market Values of Specified Livestock Determination 2025 ([NAMV 2025](#)) which declares the national average market values for the 2025 income year and applies to specified livestock on hand at the end of the 2024-2025 income year. See [¶27-264](#).

## **April 2025**

### **NEW DEVELOPMENTS**

#### **Access to a client’s Inland Revenue information**

On 17 April 2025, Inland Revenue issued [OS 25/03](#), “Authority to Act for Tax Agents, Representatives and Nominated Persons: Access to a Client’s Inland Revenue Information”. This operational statement sets out how a tax agent, or a representative can obtain the authority to act from their clients and the process for a person to get another person to act for them in relation to their tax affairs and/or their social policy entitlements and obligations. See [¶12-018](#).

#### **Moving between the standard tax rules and the mixed-use asset rules**

On 4 April 2025, Inland Revenue issued [IS 25/08](#), “Income tax – implications of a residential property moving between the standard tax rules and the mixed-use asset rules”. This interpretation statement provides guidance when a person’s use of their residential property has changed so the property moves from being under one set of income tax deduction rules to another. The item explains how a person determines which income tax deduction rules apply and the consequences of moving between the standard tax rules and the mixed-use asset rules. See [¶10-037](#).

**Property held in a trust rented out for short-stay accommodation**

On 3 April 2025, Inland Revenue released [QB 25/05](#), "Income tax – If property held in a trust is rented out for short-stay accommodation, who declares the income and what deductions can be claimed?". This question we've been asked sets out how the income tax rules apply if property held in a trust is rented out as short-stay accommodation. See [¶15-232](#) and [¶125-285](#).

**Application of the standard tax rules for property used to provide short-stay accommodation**

On 3 April 2025, Inland Revenue released [QB 25/04](#), "Income tax – How do the standard tax rules apply if I provide short-stay accommodation?". This question we've been asked explains how the standard tax rules apply to a dwelling that a taxpayer sometimes rent out as short-stay accommodation and also sometimes use privately (such as a holiday home). See [¶15-232](#) and [¶10-113](#).

**Application of the mixed-use asset rules for property used to provide short-stay accommodation**

On 3 April 2025, Inland Revenue released [QB 25/03](#), "Income tax – How do the mixed-use asset rules apply if I provide short-stay accommodation?". This question we've been asked sets out how the mixed-use asset rules apply to a dwelling that a taxpayer sometimes rent out as short-stay accommodation and also sometimes use privately (such as a holiday home). See [¶15-232](#), [¶10-035](#) and [¶10-113](#).

**Which income tax rules apply to a dwelling sometimes rented out as short-stay accommodation and sometimes used privately**

On 3 April 2025, Inland Revenue issued [QB 25/02](#), "Income tax – Which rules apply if I have a dwelling I sometimes rent out as short-stay accommodation and also sometimes use privately?". This question we've been asked explains which income tax rules apply to a dwelling that a taxpayer sometimes rent out as short-stay accommodation and also sometimes use privately (such as a holiday home). See [¶15-232](#), [¶10-035](#) and [¶10-113](#).

**Taxpayer's own home or a separate dwelling on the property occasionally rented out as short-stay accommodation**

On 3 April 2025, Inland Revenue released [QB 25/01](#), "Income tax – Which rules apply if I rent out my home, part of my home, or a separate dwelling on my property as short-stay accommodation?". This question we've been asked sets out how the income tax rules apply if a taxpayer occasionally rent out their home, a room in their home, or a separate dwelling on the property for short stays. See [¶15-232](#) and [¶10-113](#).

**Income tax and GST consequences for forestry activities in the Emission Trading Scheme**

On 7 April 2025, Inland Revenue issued [IS 25/13](#), "Income Tax and GST – forestry activities registered in the Emissions Trading Scheme". This interpretation statement sets out the income tax and GST treatment for forestry activities registered in the Emission Trading Scheme including the tax consequences of receiving, selling and surrendering emissions units (NZUs) and specific transactions involving NZUs. See [¶15-228](#) and [¶132-034](#).

**Using the cost method to calculate FIF income**

On 4 April 2025, Inland Revenue issued [IS 25/12](#), "Income tax – Using the cost method to determine foreign investment fund (FIF) income". This interpretation statement sets out when a New Zealand tax resident investor is able to apply the cost method to calculate their FIF income on shares held in foreign companies. See [¶126-130](#).

**Tax treatment of losses on amalgamation**

On 4 April 2025, Inland Revenue released [IS 25/09](#), "Tax treatment of losses on amalgamation". This interpretation statement provides guidance on how the provisions in subpart [1E](#) apply to the tax losses of an amalgamated company, amalgamating company or a non-amalgamating group company, that arise before amalgamation. See [¶120-120](#).

**Calculating ASC for amalgamated companies**

On 4 April 2025, Inland Revenue issued [QB 25/06](#), "How does an amalgamated company calculate its available subscribed capital following an amalgamation?". This question we've been asked item provides detailed guidance on how an amalgamated company calculates its available subscribed capital. See [¶16-760](#).

**Consultation paper on proposals for fringe benefit tax**

On 1 April 2025, Inland Revenue released the consultation paper, "[Fringe benefit tax – options for change](#)". This paper proposes a number of significant changes to the FBT regime with the aim to

simplify the FBT rules and reduce compliance costs for taxpayers. Submissions on the paper close on 5 May 2025 and the final proposals are expected to be included in a future tax bill. See [¶21-010](#).

#### **Questions We've Been Asked on gift cards and product provided to employees**

On 16 April 2025, Inland Revenue released [QB 25/07](#), "What is the income tax treatment of gift cards and products provided as trade rebates or promotions?", which explains the income tax treatment for trade rebate arrangements between businesses where trade suppliers provide products or gift cards to their trade customers. The provision of these products or gift cards by a business to its employees may give rise to employment income, a fringe benefit or a dividend in the case of shareholder-employees. See [¶21-430](#).

## **March 2025**

### **NEW DEVELOPMENTS**

#### **Cash collateral is "money lent"**

On 18 March 2025, Inland Revenue issued [OS 25/01](#), "Cash collateral is "money lent"". This operational statement explains a change in the Commissioner's view that interest arising on cash collateral is subject to resident withholding tax (RWT) or non-resident withholding tax (NRWT). See [¶10-182](#).

#### **Interpretation statement on employer obligations for employee share scheme benefits paid in shares**

On 31 March 2025, Inland Revenue issued [IS 25/07](#), "Employer obligations for employee share scheme benefits paid in cash". This interpretation statement provides guidance on an employer's withholding and reporting obligations when an employer chooses to fund the tax cost on an employee share scheme benefit provided in shares. See [¶13-470](#).

#### **Interpretation statement on what is an employee share scheme, the taxing date and apportionment**

On 31 March 2025, Inland Revenue issued [IS 25/06](#), "Employer obligations for employee share scheme benefits paid in cash". This interpretation statement provides guidance on an employers' PAYE, student loan and KiwiSaver obligations when an employee receives a benefit under an ESS that is paid in cash. See [¶13-470](#).

#### **Interpretation statement on what is an employee share scheme, the taxing date and apportionment**

On 10 March 2025, Inland Revenue issued [IS 25/04](#), "What an employee share scheme is, the taxing date and apportionment". This interpretation statement considers the definition of an employee share scheme, when the share scheme taxing date arises and when shares are held by or for the benefit of an employee, as well as the circumstances when the share scheme taxing date may be deferred. The statement also addresses how benefits are apportioned when some of the employee's entitlement arises for non-residents. See [¶13-470](#).

#### **2025 International tax disclosure exemption issued**

On 31 March 2025, Inland Revenue issued the 2025 International tax disclosure exemption determination ([ITR 36](#)). This determination sets out the disclosure exemption for disclosing FIF and CFC interests for the income year ended 31 March 2025. See [¶126-042](#) and [¶126-110](#).

#### **GST treatment of fees paid in relation to managed fund**

On 31 March 2025, Inland Revenue released [IS 25/05](#), "GST treatment of fees paid in relation to managed funds". This interpretation statement addresses the GST treatment of fees received by a manager of a managed fund and fees received by third-party suppliers for supplies made to the manager of a managed fund. See [¶132-044](#).

#### **Commissioner's operational position on the GST treatment of fees paid in relation to managed fund**

On 31 March 2025, Inland Revenue issued [OP 25/01](#), "Commissioner's operational position on the GST treatment of fees paid in relation to managed fund". This statement outlines the Commissioner's operational position on the adoption of [IS 25/05](#). See [¶132-044](#).

#### **GST on supplies through electronic marketplaces – hostel and motel opt-out agreement criteria**

On 14 March 2025, Inland Revenue released [DET 25/01](#), “GST on supplies through electronic marketplaces – hostel and motel opt-out agreement criteria”. This determination sets out criteria for when a person who supplies accommodation through an electronic marketplace can enter into an opt-out agreement with the operator of an electronic marketplace. See [¶132-640](#).

## February 2025

### NEW DEVELOPMENTS

#### **National standard costs for specified livestock determination issued**

On 24 February 2025 Inland Revenue issued “[National standard costs for specified livestock determination 2025](#)”. This determination applies to any specified livestock on hand at the end of the 2024-2025 income year where the taxpayer has elected to value that livestock under the national standard cost scheme for that income year. See [¶127-267](#).

## January 2025

### NEW DEVELOPMENTS

#### **Identification of the relevant item of depreciable property**

On 22 January 2025, Inland Revenue issued [IS 25/03](#), “Income tax - identifying the relevant item of property for depreciation purposes”. This interpretation statement provides guidance on how to identify the relevant item of property when applying the depreciation rules. See [¶113-034](#).

#### **Interpretation statement on FBT implications for travel by motor vehicle between work and home**

On 15 January 2025 Inland Revenue released [IS 25/02](#), “FBT – travel by motor vehicle between home and work”, which considers when employer provided travel by motor vehicle is a fringe benefit and subject to FBT for travel between work and home. See [¶121-175](#).

#### **Interpretation statement on deductibility of travel by motor vehicle between work and home**

On 15 January 2025 Inland Revenue released [IS 25/01](#), “Income Tax – deducting costs of travel by motor vehicle between home and work”, which considers who can claim deductions for expenditure on travel by motor vehicle under specific deductibility rules for motor vehicle expenditure, and in what circumstances. See [¶110-710](#).

#### **Determination on amortisation rates for M#nuka plants**

On 6 January 2025, Inland Revenue issued [DET 24/04](#), “Amortisation rates for listed horticultural plants”. This supplementary determination acknowledges that M#nuka, cultivated and managed as part of a farming activity primarily to promote the production of honey or another m#nuka product (not being timber), is recognised by the Commissioner as a listed horticultural plant for tax purposes. The Commissioner sets out the amortisation rates for M#nuka plants in this supplementary determination and states that this determination applies from the 2024 income year. See [¶150-167](#).